Part 2

HR strategist or tactition

Understand what it takes to have a hot seat at the boardroom table.

By Dr M Amr Sadik

Myopia, as defined in the dictionary, is often referred to as "short sightedness or near sightedness". People with myopia can see clearly for a short distance, and then objects begin to appear out of focus.

The concept was introduced in business by Theodore Levitt in the marketing function of the field of management. In marketing, it means a narrow-minded approach and short goals are considered. By extension, the same concept applies to HR when addressing major pressing issues. Some practitioners have it wrong.

Can finding a new way to reduce staff turnover, re-negotiate medical cover, introduce a training programme or change the recruitment firm or direction be called a strategy? No, it's not. Those are activities, plans, tasks or programmes that we can implement in pursuit of a specific strategy or different strategies we are looking to achieve.

Thus, in such a context, a strategy is what we will have at the end of the day after doing all of those good things. Therefore, having decided to operate at a strategic level or be a strategic partner, you ought to know the rules and get wider choices to address.

What does "being strategic" mean?

Initially we borrowed the word "strategy" from military terminology from the ancient Greeks 'Strategia' which used to mean "generalship". But within the business world we define it differently as decisions or plans to impact positively on the bottom-line or to solve critical challenging issues.

Being strategic means having a clear, concise and accurate assessment of your current situation, articulating how you would like the future to be, and then creating the roadmap to achieve what you have envisioned. Or, in plain English, the ability to solve chronic problems. So, if you don't do that, you are not a strategist but a tactician.

For an HR practitioner, being a strategist means that he/she must build something that is not already available in the organisation, something out of the blue, and explore new ways of leading people towards such a thing. To be the HR strategist, you need at least to define the challenge your organisation is confronting.

Simple example

In the mid 90s, a meeting was held among the executive committee members and the GM to review a plan to open 17 luxury villas. We were faced with an awkward and unpredictable situation. The local authority denied new working visas. We were not able to recruit a single housekeeping staff member, nor could we postpone the opening as reservations were made and confirmed by high profile celebrities. Thus, the challenge was crystal clear: "How can we open those villas with no operating staff?"

Some of the executives said we should get staff on loan from sister hotels, but that would be a temporary and short-term solution. Others said to let the current ones work overtime, but that also was a suicide mission. They would not last for long before medical bills started coming in. We needed to think out of the box and have some sort of critical thinking skills and find a new workable solution.

Therefore, the only envisaged strategy that we could pursue was to hunt very regular people out of the street with a workable knowledge of English and brainwash and polish them inside out.

An interview committee was formed, headed by the GM, Executive Housekeeper, Rooms Division Manager, Executive Assistant Manager, Training Manager and myself as Director of Human Resources, to select 40 potential candidates who would follow an intensive three-week class room and practical training programme, and then re-interview them to select 25 employees who would join us. The villas opened in timely fashion.

The reality is that it can be so hard to put strategic thinking to work without defining the challenge and come up with a real statement about your current situation. So, to be the strategist, you have to have the experience that you can depend upon and the necessary skills that you can count on.

Playing the strategic HR role or the strategic partner is totally different from being the strategist.

Thinking strategically, thinking differently

Working with great leaders and being associated with serious educators can impact on the way one views and addresses things, and I have been blessed with both. Moreover, educating ourselves by reading good books, attending various summits and learning from history can also shape our strategic mindset.

The road on the way to a strategic level is full of potholes, but the destination is reachable. All you have to do is look inside from the outside.

Your foremost task is to get acquainted with the business of the business you are in. If you are in the hospitality industry, think of ways to increase customer satisfaction from an HR point of view or, if you are in the pharmaceutical industry, know how to increase the efficiency or effectiveness of the sales people, or if your are in the education sector, think of ways to attract students to your programmes.

HR is also perceived as a transactional function so, to be a strategic partner and have a say in the boardroom, you have to express yourself by displaying positive behaviour in business. You have to work on numbers and analysis, be more pragmatic and less theoretical.

Here are few suggestions to focus on and get engaged as a starting point in your path to the strategic level:

1. Increase productivity and profit

As practitioners, think about providing programmes and services that result in a measurable increase in employee productivity and building a strong business case outlining its financial impact. For example, introduce a programme to discourage absenteeism or late attendance.

2. Provide competitive advantage

You need to assess what you offer to your human capital versus what your competitors offer. Building an internal in-house academy to shift the traditional training function from being a cost to a profit centre is something that you can think of, or provide accredited training programmes.

3. Build a brand

Ask yourself if your organisation is a great place to work or the employer of choice that people are looking for. If not, how can you make it? What kind of programmes should you introduce, what sort of benefits ought to be introduced, what is the current working environment or culture that has to be addressed and changed?

In 2003, while we were sitting with the Chairman in a board meeting, he enquired about how we can attract locals who are leaving for the USA, Canada and Europe to take top and middle positions, and reduce the number of expatriates. Being an expat and the HR Director, I could have said we should work with executive search firms. But no, we needed a new approach that would allow us to have a pool of candidates to select from and, at the end of the day, to become known as the Ultimate Employer. We needed propaganda.

To do that we took a detour from the norms and from competitors by implementing various programmes such as: an internal Executive MBA programme for selected local employees over weekends, publishing paid articles in international magazines to introduce the company and the benefits of being employed by us, sponsoring graduation events, and sponsoring top local students to complete masters degree programmes abroad.

Within one year, we were able to reduce the number of expatriates by 25% and save on some of the benefits that we were giving to expatriates.

HR practitioners have still more to contribute to their organisations. Despite the fact that they have evolved in status, they need to apply HR expertise to the wider needs of the business. They have to be part of the solution and not part of the problem or burden on the management.

Before becoming a strategic partner, first things first: get the basic HR transactional then tactical things in place before moving forward.

On the other hand, CEOs must give the chance to their HR people to get involved in strategic thinking and the planning process, and coach them as good leaders to create good followers.

Now ask yourself: what would you like to be called, a Strategist or a Tactician?

I guess I know the answer. Remember that in the late 90s a considerable number of CEOs of the 500 fortune companies in USA were asked to leave or were fired because of their failure in strategic execution or wrong strategy implementation. So be careful and good luck. ■

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